

HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2019	Bank			Group Consolidated		
		31.03.2018	31.12.2018	31.03.2019	31.03.2018	31.12.2018	31.03.2019
		UnAudited	Audited	UnAudited	UnAudited	Audited	UnAudited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	355,021	356,884	426,040	355,186	356,884	426,040
2	Balances due from Central Bank of Kenya	2,120,639	2,423,468	2,079,232	2,120,639	2,423,468	2,079,232
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-
	a) Held to Maturity:	1,316,673	515,801	591,117	1,316,673	515,801	591,117
	a. Kenya Government securities	1,316,673	515,801	591,117	1,316,673	515,801	591,117
	b. Other securities	-	-	-	-	-	-
	b) Available for sale:	1,174,427	2,696,339	3,022,567	1,174,427	2,696,339	3,022,567
	a. Kenya Government securities	1,174,427	2,696,339	3,022,567	1,174,427	2,696,339	3,022,567
	b. Other securities	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	2,767,912	1,696,302	1,221,604	2,767,912	1,696,302	1,221,604
7	Deposits and balances due from banking institutions abroad	227,934	345,124	108,846	227,934	345,124	108,846
8	Tax recoverable	173,465	184,898	185,772	194,370	311,739	324,325
9	Loans and advances to customers (net)	48,782,852	44,615,058	43,307,899	48,782,852	43,439,691	41,986,011
10	Balances due from banking institutions in the group	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-
13	Investment in Joint ventures	254,580	236,627	236,627	1,715,047	1,690,210	1,692,170
14	Investment properties	-	-	-	745,986	-	-
15	Property and equipment	1,471,779	1,339,729	1,301,188	1,505,619	2,078,978	2,036,999
16	Prepaid operating lease rentals	38,359	38,013	37,898	43,766	43,284	43,123
17	Intangible assets	1,045,985	1,006,692	960,204	1,017,912	1,007,553	961,044
18	Deferred tax asset	813,625	854,804	835,244	846,176	994,594	974,938
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	868,248	773,544	891,493	4,025,439	2,949,383	3,611,530
21	TOTAL ASSETS	61,411,498	57,083,283	55,205,731	66,839,938	60,549,350	59,079,545
B.	LIABILITIES						
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-
23	Customer deposits	36,072,048	34,866,684	34,133,142	35,911,696	34,720,824	33,994,621
24	Deposits and balances due to local banking institutions	85,164	578,216	122,460	85,164	578,216	122,460
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	14,396,442	11,520,964	11,127,399	16,894,504	13,468,749	13,019,476
28	Balances due to banking institutions in the group	-	-	-	-	-	-
29	Tax payable	-	-	-	3	3	3
30	Dividends payable	-	-	-	47,077	28,055	20,256
31	Deferred tax liability	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	1,064,529	952,459	658,163	2,602,558	1,382,272	1,657,710
34	TOTAL LIABILITIES	51,618,183	47,918,323	46,041,164	55,541,003	50,178,119	48,814,526
C.	SHAREHOLDERS' FUNDS						
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	1,747,733	1,923,071	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	4,342,962	4,343,512	4,343,512
37	Revaluation reserves	179,580	180,440	180,440	881,044	881,903	881,903
38	Retained earnings/Accumulated losses	386,004	(1,440,413)	(1,846,360)	3,517,007	1,337,713	825,947
39	Statutory loan loss reserves	678,747	1,885,489	2,245,403	678,747	1,885,489	2,245,403
40	Other Reserves	(15,428)	(24,968)	20,672	(41,667)	(51,207)	(5,567)
41	Proposed dividends	-	-	-	122,359	-	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	9,793,315	9,164,960	9,164,567	11,298,935	10,371,231	10,265,019
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	61,411,498	57,083,283	55,205,731	66,839,938	60,549,350	59,079,545

HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 MARCH 2019	Bank			Group Consolidated		
		31.03.2018	31.12.2018	31.03.2019	31.03.2018	31.12.2018	31.03.2019
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)
1	INTEREST INCOME						
1.1	Loans and advances	1,548,774	5,661,554	1,253,587	1,548,774	5,661,554	1,253,587
1.2	Government securities	50,218	338,823	91,233	50,218	338,823	91,233
1.3	Deposits and placements with banking institutions	13,760	45,144	5,894	13,760	45,144	5,894
1.4	Other Interest Income	-	-	-	-	-	-
1.5	Total interest income	1,612,752	6,045,521	1,350,714	1,612,752	6,045,521	1,350,714
2	INTEREST EXPENSES						
2.1	Customer deposits	542,329	2,173,142	460,938	542,329	2,173,142	460,938
2.2	Deposits and placement from banking institutions	31,029	126,790	19,742	31,029	126,790	19,742
2.3	Other interest expenses	342,498	1,311,822	279,480	342,162	1,479,916	359,268
2.4	Total interest expenses	915,856	3,611,754	760,160	915,520	3,779,848	839,948
3	NET INTEREST INCOME/(LOSS)	696,896	2,433,767	590,554	697,232	2,265,673	510,766
4	OTHER OPERATING INCOME						
4.1	Fees and commissions on loans and advances	6,843	62,953	16,436	6,843	62,953	16,436
4.2	Other fees and commissions	48,854	112,045	98,035	62,731	151,772	108,613
4.3	Foreign exchange trading income/(Loss)	17,570	38,173	6,298	17,570	38,173	6,298
4.4	Dividend Income	-	-	-	-	-	-
4.5	Other income	12,115	89,707	11,682	196,605	1,066,159	127,378
4.6	Total Non-interest income	85,382	302,878	132,451	283,749	1,319,057	258,725
5	TOTAL OPERATING INCOME	782,278	2,736,645	723,005	980,981	3,584,730	769,491
6	OPERATING EXPENSES						
6.1	Loan loss provision	112,649	375,908	179,706	112,668	375,908	179,706
6.2	Staff costs	200,560	929,804	201,123	218,739	1,227,078	255,018
6.3	Directors' emoluments	2,696	7,998	3,316	3,684	8,420	3,680
6.4	Rental charges	28,466	114,875	28,659	28,466	155,526	28,659
6.5	Depreciation charge on property and equipment	42,658	165,724	39,232	42,920	181,799	43,322
6.6	Amortisation charges	46,406	199,982	51,410	46,449	199,982	51,444
6.7	Other operating expenses	271,965	1,337,633	265,592	475,118	2,087,702	365,315
6.8	Total Other Operating Expenses	705,400	3,131,924	769,038	928,044	4,236,415	927,144
7	Profit/(loss) before tax and exceptional items	76,879	(395,279)	(46,033)	52,937	(651,685)	(157,653)
8	Exceptional items	-	13,555	-	-	8,941	-
9	Profit/(loss) after exceptional items	76,879	(381,724)	(46,033)	52,937	(642,744)	(157,653)
10	Current tax	(23,063)	(13,134)	-	(15,881)	(13,623)	(641)
11	Deferred tax	-	(33,967)	-	-	58,149	-
12	Profit/(loss) after tax and exceptional items	53,816	(428,825)	(46,033)	37,056	(598,218)	(158,294)
13	Other Comprehensive Income						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	9,371	60,379	65,200	9,371	60,379	65,200
13.3	Revaluation surplus on Property, plant and equipment	-	860	-	-	860	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(2,811)	(18,114)	(19,560)	(2,811)	(18,114)	(19,560)
14	Other Comprehensive Income for the year net of tax	6,560	43,125	45,640	6,560	43,125	45,640
15	Total comprehensive income for the year	60,376	(385,700)	(393)	43,616	(555,093)	(112,654)
	Earnings per share	43.05	(85.77)	(36.83)	0.42	(1.56)	(1.65)
	Dividend per share		25.00		-	-	-

HFC LTD
UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

III	DISCLOSURES AS AT 31 MARCH 2019	Bank			Group Consolidated		
		31.03.2018	31.12.2018	31.03.2019	31.03.2018	31.12.2018	31.03.2019
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1	Non-Performing Loans and Advances						
a)	Gross non-performing loans and advances	8,479,657	13,334,356	12,968,197	8,479,657	13,334,356	12,968,197
b)	Less: Interest in Suspense	1,385,613	2,501,523	2,673,324	1,385,613	2,501,523	2,673,324
c)	Total non-Performing loans and advances (a-b)	7,094,044	10,832,833	10,294,872	7,094,044	10,832,833	10,294,872
d)	Less: Loan loss provisions	1,937,592	2,098,159	2,488,850	1,937,592	2,098,159	2,488,850
e)	Net non-performing loans and advances(c-d)	5,156,452	8,734,674	7,806,022	5,156,452	8,734,674	7,806,022
f)	Discounted value of securities	5,156,452	8,734,674	7,806,022	5,156,452	8,734,674	7,806,022
g)	Net Exposure(e-f)	-	-	-	-	-	-
2	Insider loans and advances						
a)	Directors, shareholders and associates	476,357	1,549,429	1,497,959	476,357	1,549,429	1,497,959
b)	Employees	964,007	868,996	847,248	964,007	868,996	847,248
c)	Total Insider Loans and Advances	1,440,364	2,418,425	2,345,206	1,440,364	2,418,425	2,345,206
3	Off-Balance Sheet items						
a)	Letters of credit, guarantees and acceptances	160,881	184,760	173,192	160,881	184,760	173,192
b)	Forwards, swaps and options	1,649,300	972,275	809,700	1,649,300	972,275	809,700
c)	Other contingent liabilities	-	-	-	-	-	-
d)	Total contingent liabilities	1,810,181	1,157,035	982,892	1,810,181	1,157,035	982,892
4	Capital Strength						
a)	Core capital	8,043,706	6,925,770	6,498,789	8,818,699	7,370,131	6,888,396
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/Deficiency	7,043,706	5,925,770	5,498,789	7,818,699	6,370,131	5,888,396
d)	Supplementary capital	798,949	684,869	620,310	768,230	684,869	620,310
e)	Total capital (a+d)	8,842,655	7,610,639	7,119,099	9,586,928	8,055,000	7,508,707
f)	Total risk weighted assets	52,217,439	48,940,357	45,724,837	56,289,137	52,178,149	50,431,983
g)	Core capital /Total deposit liabilities	22.25%	19.54%	18.97%	22.40%	20.88%	20.19%
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i)	Excess/Deficiency	14.25%	11.54%	10.97%	14.40%	12.88%	12.19%
j)	Core capital /Total risk weighted assets	15.40%	14.15%	14.21%	15.67%	14.12%	13.66%
k)	Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
l)	Excess/Deficiency (j-k)	4.90%	3.65%	3.71%	5.17%	3.62%	3.16%
m)	Total capital /Total risk weighted assets	16.93%	15.55%	15.57%	17.03%	15.44%	14.89%
n)	Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
o)	Excess/Deficiency (m-n)	2.43%	1.05%	1.07%	2.53%	0.94%	0.39%
p)	Adjusted Core Capital/Total Deposit Liabilities*	22.25%	20.05%	19.40%			
q)	Adjusted Core Capital/Total Risk Weighted Assets*	15.40%	14.52%	14.50%			
r)	Adjusted Total Capital/Total Risk Weighted Assets*	16.93%	15.92%	15.90%			
5	Liquidity						
a)	Liquidity Ratio	21.40%	20.92%	20.84%	21.40%	20.92%	20.84%
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c)	Excess(Deficiency) (a-b)	1.40%	0.92%	0.84%	1.40%	0.92%	0.84%

***Notes**

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.No changes in the Capital Ratios have occurred as a result of the add back of provisions.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Robert Kibaara
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